

Past Paper 2022

Question: 1

Answer the following short questions

اشرح

Discuss vicious circle of poverty?

The vicious circle of poverty is a situation where poor people remain trapped in poverty because of a chain of problems that reinforce each other.

- 1 Low income: Poor people earn very little money.
- 2 Low Savings: Since their ^{income} is low they cannot save much
- 3 Low Investment: With little or no savings, they cannot invest in things like education, health or better tools for work

each other

- How Agriculture Helps Industry: Farmers provide raw material like cotton for clothes or sugarcane for sugar. They also buy tools and machines made by industries.
 - How Industry Helps Agriculture: Industries make things like tractors, fertilizers and seeds that help farmers grow more food and work faster.
- Together they create jobs, improve incomes and keep the economy strong-

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Explain the concept of Dualism?
Dualism is the idea that there are two different kind

Low Productivity: Without investment they can't improve their skills, health or work efficiency so they continue earning low income.

Cycle Repeats: This keeps them stuck in poverty and the cycle starts all over again.

Breaking this cycle requires external help better education, healthcare, financial support to create opportunities for growth.

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Discuss complementarities between agriculture and Industry?
Agriculture and Industry are connected and help each other grow. Here how complement

Gross Domestic Product ^{per capita} is the total value of goods and services produced within a country, divided by its population

- 2- Human Development Index: The Human Development Index is a statistical tool that measures a country's social and economic development.

QVB
Discuss measurements of poverty
Poverty is measured in different ways to understand how many people are struggling and how to help them.

- 1- Income Based poverty
- 2- Spending
- 3- Multidimensional poverty

of things and realities.

For Example: In mind-body dualism, it means that the mind is separate from the body. So the mind is not made of matter, and the body is made of matter. Dualism says that these two things are different and cannot be fully explained by each other.

QVB
Discuss any two measurement of economic development?

Two common measurement of economic development.

- 1- Gross Domestic Product per capita
- 2- Human Development Index

- 1- Gross Domestic Product per capita:

slows

Stage 4: Low birth and death rates population stabilizes

Stage 5: Birth rates fall below death rates population may decline

Question: 2

Answer the following Questions

Q1B

What is debt overhang hypothesis?
Discuss causes of third world debt crises

When a country owes too much money, its future earnings can't cover the debt discouraging investment and economic growth. It's like being stuck in debt and unable

Relative poverty

Absolute poverty

These help identify and address poverty effectively.

Q1B

What do you mean by demographic transition?

Demographic transition is the process of how a population changes over time as a country develops

It usually happens in four stages.

Stage 1: High birth and death rates, slow growth

Stage 2: Death rates drop, population grows quickly.

Stage 3: Birth rates drop, growth

to development uses businesses and market competition to drive economic growth. It reduces government control, promotes private investment, simplifies regulation and focuses on open trade.

A market friendly approach development focuses on using businesses and competition to grow the economy. It reduces strict government controls, encourages private companies to invest and make it easier to trade and do business.

This creates jobs and new opportunities but it's important to also support the poor and protect the environment.
Benefits

Causes of third-World Debt Crises

- 1- Over-Borrowing: Loan for development exceeded repayment capacity.
 - 2- Oil Shock: Increase energy costs led to trade deficits.
 - 3- Policy Failure: Corruption and inefficient use of funds.
 - 4- Currency Devaluation: Increased foreign debt costs.
 - 5- Political Instability: Undermined economic performance.
- These factors created a cycle of debt and stagnation.

Q11B
Discuss Market Friendly approach to development?

A market friendly approach

- 4- Drive to maturity
- 5- Age of Mass Consumption

● Criticisms:

- 1- Too Simple
- 2- Assumes Linear Progress
- 3- Ignore Inequality
- 4- Limited Applicability

In short Rostow's model provides a basic framework, but it has limitations and does not account for many important factors.

- 1- Promote innovation and efficiency
- 2- Attracts foreign business and investment
- 3- Create jobs and improve access to goods and services.

Q.111B

Critically examine Rostow's stages of economic growth?

Walt Whitman Rostow proposed linear stages of growth model in 1960 which describe how countries progress from traditional societies to modern high mass consumption societies.

Stages:

- 1- Traditional Society
- 2- Pre Conditions for Take off
- 3- Take off

Question: 1

Answer the following short questions

Explain big Push Theory

Discuss Consequence of high fertility?

Discuss Human Development Index

How unbalanced growth theory differs from balanced growth theory?

Balanced Growth Theory: Simultaneous investment in all sectors for even development. Avoid Imbalances but requires significant resources.

Unbalanced Growth Theory: Focuses investment on key sectors to trigger

growth in others.

Accepts temporary imbalances for faster progress.

QVB

Critically evaluate lewis model of surplus labour?

The lewis model of Surplus labor explains how workers move from farming to industry to help a country develop.

- Strengths

- 1- Explains growth by shifting labor from agriculture to industry.
- 2- Relevant for developing economies with surplus labor.

- Weakness

Ignore social and institutional barriers.

Assumes surplus labor exists universally.

Q. viii
What are the economic characteristics of high poverty groups?

Low income: Ear

Lack of assets like land and property

Limited education and skills.

Have many dependents but few earning members. / Large family with few earners

Live in underdeveloped areas.

Depend on low paying farming or informal work.

Question: 2

Answer the following Questions.

Q. ix

What is the difference between

economic development and economic growth? Explain key indicators of economic growth?

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Discuss Rostow's stages of economic growth?

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Explain debt cycle theory and any two conventional solutions to debt difficulties?

